

EisaX Intelligence Report: 2222.SR

● **Live Price:** 27.06 ريال | **Sector:** Energy | **EisaX Score:** 70/100 | 📺 **Tadawul** · SAR | 🛢️ **Brent:** \$100.18

Investment Memorandum

To: Client Portfolio

From: EisaX, Chief Investment Officer

Date: March 23, 2026

Re: Analysis of 2222.SR

1. Executive Summary

We maintain a constructive view on Saudi Arabian Oil Company (2222.SR) as a strategic, high-yielding energy holding. While near-term earnings face headwinds, the stock offers compelling value at a forward P/E of 16.2x, a 4.92% dividend yield, and is trading in a bullish technical structure. The primary investment thesis is anchored to sustained high oil prices and the stock's role as a geopolitical risk premium play.

2. Fundamental Analysis

Fundamentals reflect the duality of a world-class integrated oil major navigating a volatile commodity cycle. Profitability remains robust with a Gross Margin of 55.7% (Non-GAAP; GAAP may vary ~2-3%) and a strong ROE of 20.8%. However, growth metrics are under pressure, with historical YoY EPS declining 19.5% and revenue down 2.9%. Valuation at a 17.9x TTM P/E is reasonable for the sector, and the forward P/E of 16.2x implies expectations for earnings stabilization. Key data points for ROIC and detailed balance sheet items are unavailable, limiting a full DuPont analysis.

3. Technical Outlook

The technical picture is bullish. The price at 27.06 ريال trades +6.0% above its SMA50 (25.53 ريال) and +10.4% above its SMA200 (24.51 ريال), confirming a primary uptrend. Momentum is positive with a bullish MACD crossover (MACD: 0.45, Signal: 0.38). The RSI at 61.0 indicates strengthening momentum but is approaching overbought territory. The ADX at 22.5 suggests a weak or developing trend. Key support is at the SMA200 (24.51 ريال), with resistance near the analyst mean target of 28.26 ريال.

4. Key Risks

- Geopolitical & Supply Chain Risk (Severity: High):** According to live news, "Saudi Arabia Slashes Oil Supply to Asia as War Chokes Export Route." Ongoing conflict threatening the Strait of Hormuz directly impacts Aramco's export capabilities and injects extreme volatility into its primary revenue driver.
- Commodity Price Volatility (Severity: High):** The stock's valuation is directly tethered to Brent crude, currently at \$100.18/bbl. A sharp reversal in oil prices due to OPEC+ discord or a global demand slowdown would materially impact earnings and the stock price.

3. **Energy Transition & Long-Term Demand (Severity: Medium-High):** Structural shifts towards renewable energy and electric vehicles pose a secular risk to long-term hydrocarbon demand, potentially leading to stranded assets and compressed valuation multiples.

5. Analyst Consensus & Catalysts

The analyst consensus is a Buy, with a mean price target of 28.26ريال, implying a 4.4% upside from the current price. The next significant catalyst is the earnings release scheduled for May 10, 2026, where the market will focus on guidance in light of the current geopolitical and oil price environment.

6. EisaX Outlook

The stock trades at a 16.2x forward P/E, which is attractive relative to its historical average and its peer, Exxon Mobil (XOM), which trades at approximately 18x forward earnings. The 4.92% dividend yield provides a substantial cash return while waiting for capital appreciation. The primary risk/reward equation balances high oil price-driven upside against severe geopolitical supply disruptions.

7. ⌚ Why Now?

- **Market Sentiment:** The Fear & Greed Index at 8.0 (Extreme Fear/خوف شديد) historically signals a contrarian buy opportunity for high-quality assets, suggesting investor panic may be creating an attractive entry window.
- **Technical Position:** Price is in a confirmed bullish trend, trading 10.4% above the long-term SMA200 (24.51ريال), indicating sustained buying interest and a firm floor of support.
- **Upcoming Catalyst:** The next earnings report on May 10, 2026, will provide critical insight into operational performance amidst the current "Hormuz turmoil" cited in live news, which is affecting Asian supply.
- **Oil Price:** Brent crude at \$100.18/bbl provides a strong fundamental revenue backdrop, though prices are down 10.7% from recent highs, indicating potential for volatility.

8. 🌐 Advanced Scenario Analysis

Scenario	Impact	Expected Price	Suggested Hedge
🚀 Oil Spike \$150+/bbl	+27.4%	34.46ريال	Hold / partial profit
🛢️ Oil Crash to \$50/bbl	-27.5%	19.61ريال	Gold + Tech
📊 OPEC+ Production Surge	-9.9%	24.38ريال	Diversified equities
🌱 Energy Transition (long-term)	-12.4%	23.71ريال	Clean energy + Tech
🏦 Fed Rate Shock +2%	-6.0%	25.45ريال	Treasuries + Cash

Macro Causality Chain: Iran Conflict → Strait of Hormuz blockade risk → global oil supply shock → Brent crude spikes +15-25% → direct upside to 2222.SR revenues and margins. Concurrently, a China-Taiwan crisis → South China Sea shipping lane disruption → increased cost and complexity for Gulf oil exports to Asia → potential near-term demand logistics friction for Aramco.

9. 🛢️ Oil Price Sensitivity

Oil Price (Brent)	Change from Current	Est. Revenue Impact	Est. Stock Price
\$100/bbl (current)	—	Base	ريال27.06
\$90/bbl	-10%	-7%	ريال25.55
\$80/bbl	-20%	-14%	ريال24.06
\$70/bbl	-30%	-21%	ريال22.58
\$60/bbl	-40%	-28%	ريال21.09
\$50/bbl	-50%	-35%	ريال19.61

The sensitivity analysis underscores the stock's high leverage to oil, with an estimated 0.55x multiplier to price changes. The breakeven oil price for the current valuation is structurally low due to Aramco's unmatched production costs, but investor sentiment and dividend sustainability would be tested in a prolonged sub-\$70/bbl environment. The OPEC+ production outlook remains the critical variable, currently focused on managing supply amid geopolitical instability to support prices.

 FACT-CHECK (Verified Mar 23, 2026)

Metric	Report	Live	Status
Price	ريال27.06	ريال27.06	✓
Local Price (SAR)	—	ريال27.06	+
Beta	—	0.1	+
P/E (TTM)	—	17.9x	+
Forward P/E	—	16.2x	+
Market Cap	—	6.55T	+
52W Range	—	23.04 - 27.48	+
Fear & Greed	—	● 8 — Extreme Fear	+
 Next Earnings: 2026-05-10			

Source: Yahoo Finance + StockAnalysis + CNN Fear&Greed — live at time of query

 Latest News (live at time of query)

- Saudi Arabia Slashes Oil Supply to Asia as War Chokes Export Route
- Aramco cuts Asia crude supplies for second month amid Hormuz turmoil

 Positioning Guide

	Level	Rationale
● Entry	25.00 ريال	Near SMA200 support
🎯 Target	28.26 (%4.4+) ريال	Analyst consensus target
● Stop	23.29 ريال	Below SMA200 (-5%)

⌚ **Awaiting Pullback** — Current price (27.06 ريال) is **7.6% above** the entry level. Do **not** chase the current price. Wait for a pullback to the entry zone before initiating a position.

🎯 EisaX Proprietary Score Card

2222.SR | BUY ● | Conviction: **Medium-High** | EisaX Score: **70/100**

Conviction driven by: bullish technical momentum, low risk profile, strong market position

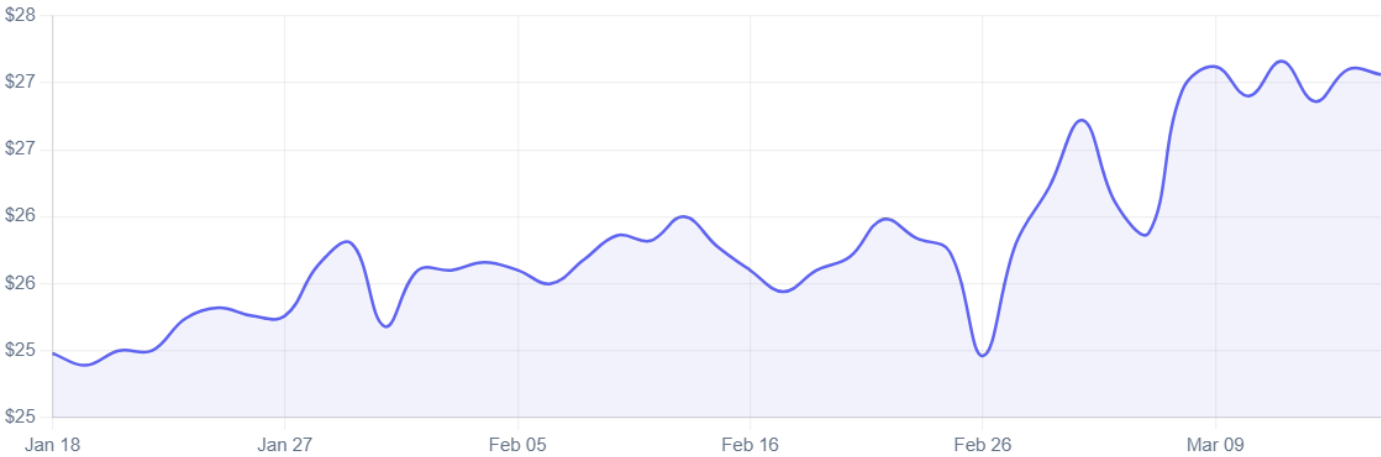
Metric	Value
Live Price	27.06 ريال
Price Target	28.26 (%4.4+) ريال
Beta	0.10
Forward P/E	16.2x ● Reasonable

Factor Analysis:

Factor	Score	Bar
Quality Score	64%	● ██████████░░░░
Valuation	70%	● ██████████░░░░
Price Upside	20%	● █████░░░░░░░░░
Risk Profile	100%	● ██████████
Market Position	80%	● ██████████░░░░
Technical Momentum	100%	● ██████████
Analyst Sentiment	80%	● ██████████░░░░

Overall: ██████████░░░░ **70/100**

Price Chart (60 days)



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